

CASE ID: 202412710002

EPISODE NAME: US Taiwan Arms Sales Winter 2024-2025

2024/12/05 - Ongoing

Sender: China (710)

Target: United States (2)

Issue: End Weapons/Materials Proliferation (9)

Final Outcome: Ongoing

Summary:

On 2024/12/05, 2024/12/27, and 2025/01/02, China sanctioned forty-one U.S. defense firms for their arms sales to Taiwan. The sanctions consisted of asset freezes, the revocation of the ability to do business in China, travel bans, and export bans, and ten firms were added to China's "Unreliable Entities List."

Narrative:

On 2024/12/05, China imposed sanctions on thirteen U.S. defense firms and six senior executives of US defense firms.¹ This was followed on 2024/12/27 with sanctions on seven more U.S. defense firms,² and then on 2025/01/02, the same seven firms were sanctioned further, in addition to twenty-one other firms.³

This was in response to the U.S. arms sales to Taiwan on 2024/10/25 and 2024/11/29.⁴⁵ The sales included an advanced air defense missile system and spare parts for F-16 jets.⁶⁷

The 2024/12/05 sanctions were imposed on U.S. firms such as Firestorm Labs, BRINC Drones, and Rapid Flight, as well as U.S. executives such as the president and vice president of the Naval Power strategic business unit of Raytheon. The sanctions included asset freezes and the revocation of the firms' ability to do business in China, as well as the executives' inability to

¹ "Decision on Taking Countermeasures Against U.S. Military Companies and Senior Executives." *Ministry of Foreign Affairs of the People's Republic of China*, 5 December 2024, https://www.fmprc.gov.cn/eng/xw/wjbxw/202412/t20241205_11539192.html.

² "China Sanctions 7 Companies over US Military Assistance to Taiwan." *AP News*, 27 Dec. 2024, apnews.com/article/china-sanctions-us-military-sales-taiwan-33e27d5389740e4a1f6c2f1ff7381931.

³ Rai, Arpan. "China Hits Lockheed Martin, Raytheon and Boeing with Export Ban after US Arms Sales to Taiwan." *The Independent*, 2 Jan. 2025, www.the-independent.com/asia/china/china-ban-lockheed-martin-raytheon-taiwan-us-firms-b2672740.html.

⁴ Stone, Mike, and Ben Blanchard. "US approves \$2 billion arms sale to Taiwan including Ukraine tested missile system | Reuters." *Reuters*, 25 Oct. 2024, www.reuters.com/business/aerospace-defense/us-approves-potential-2-billion-arms-sale-taiwan-week-after-chinese-war-games-2024-10-26/.

⁵ "US approves \$385 mln arms sale to Taiwan | Reuters." *Reuters*, 29 Nov. 2024, www.reuters.com/world/us-state-dept-approves-potential-sale-f-16-spare-parts-taiwan-pentagon-says-2024-11-30/.

⁶ Stone, Mike, and Ben Blanchard. "US approves \$2 billion arms sale to Taiwan including Ukraine tested missile system | Reuters." *Reuters*, 25 Oct. 2024, www.reuters.com/business/aerospace-defense/us-approves-potential-2-billion-arms-sale-taiwan-week-after-chinese-war-games-2024-10-26/.

⁷ "US approves \$385 mln arms sale to Taiwan | Reuters." *Reuters*, 29 Nov. 2024, www.reuters.com/world/us-state-dept-approves-potential-sale-f-16-spare-parts-taiwan-pentagon-says-2024-11-30/.

enter China.⁸ The 2024/12/27 sanctions were imposed on firms such as Hudson Technologies, Saronic Technologies, Raytheon Canada, and Raytheon Australia, and they included asset freezes and the revocation of the firms' ability to do business in China.⁹ The 2025/01/02 sanctions were imposed on the same seven firms, as well as 21 others, including General Dynamics and Boeing. They included export bans on dual-use items to these firms, the revocation of their ability to do business in China, bans on their officials entering China, and ten of the firms were added to China's "Unreliable Entities List."¹⁰ These bureaucratic sanctions were all imposed by the Ministry of Foreign Affairs of the People's Republic of China.

There has been no response by the U.S. defense firms sanctioned, nor any sign that these defense firms or the U.S. government will discontinue aid to Taiwan.

⁸ Ibid.

⁹ "China Sanctions 7 Companies over US Military Assistance to Taiwan." *AP News*, 27 Dec. 2024, apnews.com/article/china-sanctions-us-military-sales-taiwan-33e27d5389740e4a1f6c2f1ff7381931.

¹⁰ Rai, Arpan. "China Hits Lockheed Martin, Raytheon and Boeing with Export Ban after US Arms Sales to Taiwan." *The Independent*, 2 Jan. 2025, www.the-independent.com/asia/china/china-ban-lockheed-martin-raytheon-taiwan-us-firms-b2672740.html.